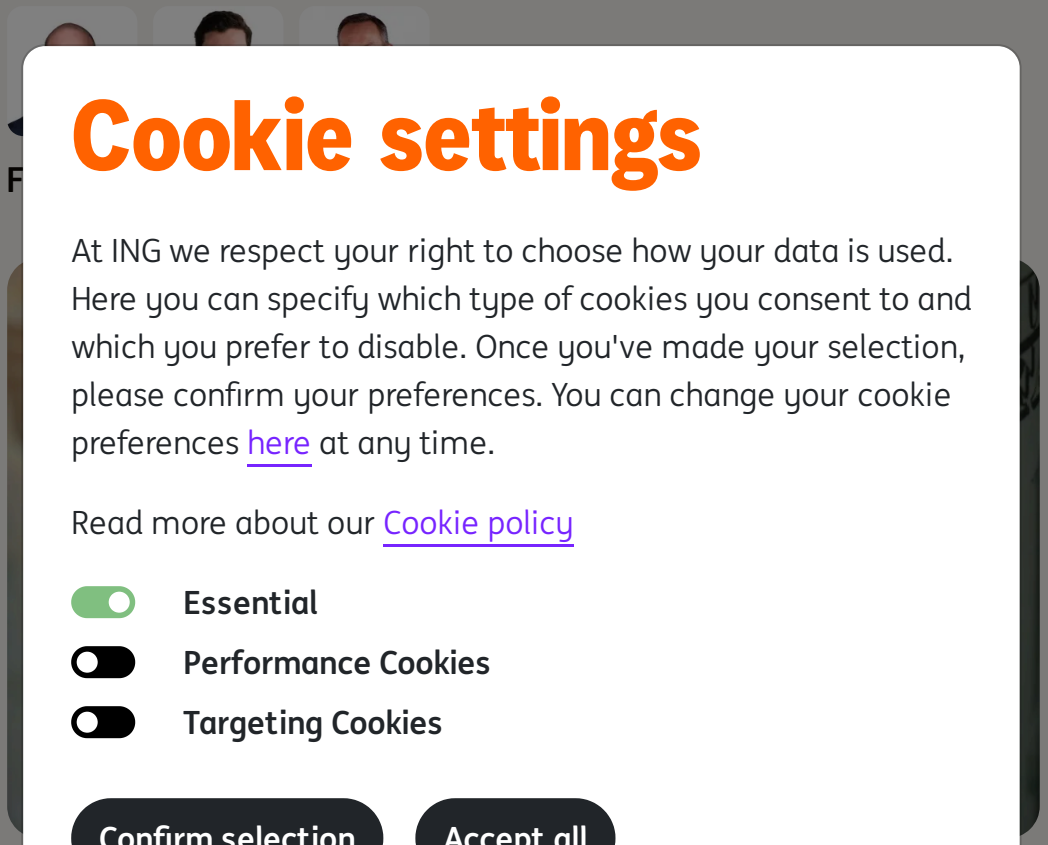
The yen and Swiss franc have emerged as the safe havens of choice as the greenback continues to show some vulnerability to the AI story. A further widening in French spreads has not materially hit the euro, but that correlation may spike again soon. Today, PMIs are published, but focus will remain primarily on global equities, France and oil



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USD: Losing safe-haven appeal

Yesterday was a rough session for risk sentiment, as global equities sold off on a combination of higher oil prices and AI-related concerns. FX moves confirmed that the dollar is far from the preferred safe haven at this stage, with the yen and Swiss franc emerging as the main beneficiaries of the defensive rotation.

Crucially, the negative correlation between bonds and equities is reasserting itself, and FX markets are taking their cues from that dynamic. 10yr Treasuries broke back below 5.0% for the first time

in a month, showing ever-reduced sensitivity to higher oil prices. The same dynamic is visible at the front end, where the 2yr SOFR swap rate dropped 15bp to 4.50% yesterday. That suggests equity jitters are enough to dent market conviction on a large Federal Reserve tightening cycle.

Still, the bar for pricing out a December Fed hike appears fairly high, which should prevent larger USD corrections for the moment. Any stabilisation in risk sentiment can help USD consolidate across most pairs and take some shine off JPY and CHF. But the FX reaction function to further risk sell-offs is now looking much clearer.

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probably a function of OAT's simply having a higher beta to global factors and perhaps some concerns about another weekend of social unrest in France.

The euro's sensitivity to France has clearly diminished, with the common currency not materially underperforming G10 peers yesterday. That link may, however, re-establish very rapidly should a new pain level – perhaps 200bp – be breached. We aren't expecting that much further widening for now, but the risks are clearly there, and the euro remains rather unattractive across the board.

EUR/CHF remains the cleanest way to play European sovereign risk at the moment, while EUR/USD should be quick to re-test the 1.1120 14 October low should bond turmoil persist. Today's PMIs will probably play a secondary role to France, which faces a Moody's credit review, and global equities. Expectations are for slightly softer numbers compared to September.

Francesco Pesole

CEE: Global risk-off sentiment weighs on region currencies

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subsequent comments from other officials are likely to be more hawkish. This supports further strengthening of the koruna, despite a significantly negative global environment; consequently, we could see a test of the 24.200–24.250 range.

EUR/RON has normalised, returning to the 5.340 level, following the parliament's vote of confidence in the new technocratic government. As we noted previously, we do not expect the new government to trigger an FX rally, but rather to foster stabilisation around current levels. This remains our baseline view, though the risk remains tilted to the upside for EUR/RON should political uncertainty return.

On the bearish side, the Polish zloty and the Hungarian forint remain particularly vulnerable. They may face further downside, given the absence of a hawkish stance from their respective central banks, combined with high exposure to energy imports and rising energy prices. The upside for EUR/HUF should be capped in the 368-370 range, supported by a local, idiosyncratic narrative; we would expect to see new sellers of EUR/HUF emerge there. Conversely, EUR/PLN lacks this benefit and remains exposed to the upside.

Frantisek Taborsky

MXN: Banxico has done a number on the p

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the IMF saw as AI-chasing behaviour. Unrest in the tech sector may therefore be weighing on the peso. 19.00/19.10 looks to be the trajectory for USD/MXN over the coming weeks.

Chris Turner

US | Monetary Policy | FX | Eurozone | Emerging markets

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